



Unit I: GENERAL NATURE OF PARTNERSHIP

1.1 Definition and Core Legal Principle

 **Purpose of the Act** — Before 1932, partnership rules were part of the Indian Contract Act, 1872. As trade grew and disputes increased, a dedicated law was needed. So the Indian Partnership Act, 1932 was passed.

Section 4 of the Indian Partnership Act, 1932, defines the structural foundation of a partnership. It explicitly states:

"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

★ Key Legal Elements:

Partner:	Persons who have entered into a partnership with one another are called individually "partners".
Firm:	Collectively, the partners are referred to as "a firm".
Firm Name:	The specific name under which their business is carried on.
Mutual Agency	This definition is widely regarded as the most practical and business-like because it directly brings out the fundamental principle of mutual agency—that every partner, when conducting firm business, acts simultaneously as both a principal and an agent.

1.2 Elements of Partnership [Section 4]

Five elements must ALL be present for a valid partnership. If even one is missing — no partnership exists.

1. Association of 2 or more persons
2. Agreement
3. Business
4. Agreement to share profits
5. Mutual Agency

1. Association of Two or More Persons 🤝

- Minimum 2 persons required.
- Only persons recognised by law can be partners.
- A **firm** cannot be a partner (it is not a legal person).
- A **minor** cannot be a partner, but can be admitted to the **benefits** of partnership with consent of all partners.
- Maximum limit: **50 partners** [Section 464, Companies Act, 2013].

2. Agreement 📝

- Partnership must arise from a contract, not by status or operation of law.
- The agreement can be oral, written, or implied from conduct.
- It is voluntary and contractual in nature.

3. Business 📁

- There must be an actual business — trade, occupation, or profession.
- The motive must be acquisition of gains (profit-making)
- No business = No partnership. So a charitable institution or club cannot be a partnership.

⚠️ **EXAM ALERT:** Co-owners who only share rent from land are NOT partners — because there is no business, only co-ownership.

4. Agreement to Share Profits 📈

- Sharing of profits is essential.
- Partners can share profits in any ratio they choose.
- Agreement to share losses is NOT essential — one partner can agree to bear all losses alone and it is still a valid partnership.
- In the absence of agreement, losses are borne in the profit-sharing ratio.

5. Business Carried on by All or Any of Them Acting for All (Mutual Agency) 👥

- The Cardinal Principle: This is the absolute core of partnership law.
- Dual Status: Every partner is both a principal and an agent for all other partners.
- They are an agent because their individual actions within the ordinary course of business can legally bind the other partners.

💡 **The TRUE TEST of partnership is MUTUAL AGENCY — not sharing of profits.** If mutual agency is absent → no partnership, even if profits are shared.

1.3 True Test of Partnership [Section 6]

To determine whether a partnership exists, look at the **real relation** between parties based on all relevant facts taken together.

Three things must be proved:

1. There was an **agreement** among all persons.
2. The agreement was to **share the profits** of a business.
3. The business was **carried on by all or any of them acting for all.**

Important points under Section 6:

A) Agreement (Section 5) Partnership arises from **contract, not status**. Members of a Hindu Undivided Family carrying on family business are **not** partners — their relation arises from status (birth), not agreement.

B) Sharing of Profits — Not Conclusive Evidence

Just receiving a share of profits does NOT automatically make someone a partner. The following persons receive profits but are NOT partners:

Person	Receives	But is NOT a partner
Lender of money	Share of profits	He is a creditor
Servant/Agent	Profit-based remuneration	He is an employee
Widow/child of deceased partner	Annuity	They are beneficiaries
Previous owner	Payment for sale of goodwill	He is a seller

⚠ **EXAM ALERT:** Sharing of profits is only **prima facie** (not conclusive) evidence of partnership. The real test is the **whole contract** and presence of **mutual agency**.

C) Agency

If mutual agency exists between parties running a business for profit → partnership can be deemed to exist.

Case Law: Santiranjana Das Gupta vs. Dasyran Murzammul (Supreme Court)

The Supreme Court held that there was **NO** partnership because:

- No record of terms and conditions was maintained.
- No separate accounts of the business were kept.
- No bank account was opened in the name of the firm.
- No written intimation was given to the concerned authorities.

Case Law: KD Kamath & Co. (Supreme Court)

The Supreme Court held that two essential conditions must be satisfied:

1. **Agreement to share** profits as well as losses.
2. **Business** carried on by all or any of them acting for all.

Even if one partner has exclusive control or operates the bank account alone — partnership still exists if the two conditions above are met.

1.4 Partnership Distinguished from Other Forms of Organisation

A) Partnership 🤝 vs. Joint Stock Company 🏢

Basis	Partnership	Joint Stock Company
Legal Status	NOT a separate legal entity	Separate legal entity (Salomon v. Salomon)
Agency	Every partner is an agent of the firm and other partners	Member is NOT an agent; actions do not bind the company
Profits	Must be distributed as per partnership deed	No compulsion; dividends declared only when decided
Liability	Unlimited — personal property can be used	Limited to unpaid share amount (generally)
Property	Joint estate of all partners	Separate from members
Transfer of shares	Cannot transfer without consent of all partners	Can transfer freely (public company)
Management	All partners entitled to participate	Only directors manage; members vote at meetings
Registration	Not compulsory	Compulsory under Companies Act, 2013
Winding up	Dissolved by agreement of all partners	By NCLT or striking off by Registrar
No. of members	Max 50	Private: max 200, Public: no limit
Duration	Dissolved by death/insolvency of partner (unless agreed)	Perpetual succession

B) Partnership 🤝 vs. Club 🏠

Basis	Partnership	Club
Purpose	Earning profits	Promoting recreation/health/welfare — NOT profit
Relationship	Partners are agents of each other	Members are NOT agents of each other

Interest in property	Partner has interest in firm's property	Member has NO interest in club property
Dissolution	Change in partners affects existence	Change in membership does NOT affect existence

C) Partnership 🤝 vs. Hindu Undivided Family (HUF) 👨👩👧👦

Basis	Partnership	HUF
Creation	By agreement	By status (birth)
Death of member	Ordinarily dissolves firm	Does NOT affect family business
Management	All partners equally entitled	Karta (senior member) manages
Authority to bind	Every partner can bind the firm	Only the Karta can contract for the family
Liability	All partners — unlimited	Karta — unlimited; other coparceners — only to extent of their share
Minor's position	Cannot be a partner; only admitted to benefits	Becomes member by birth automatically
Number of members	Max 50	Unlimited
Share	Defined share by agreement	Fluctuating — increases on death, decreases on birth in family
Governing law	Indian Partnership Act, 1932	Hindu Law

D) Partnership 🤝 vs. Co-Ownership 👨👩

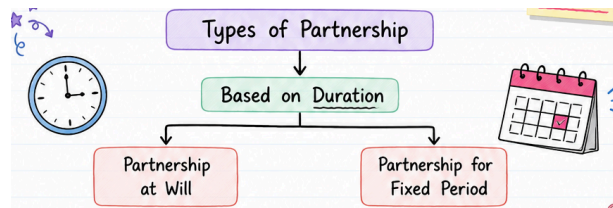
Basis	Partnership	Co-Ownership
Formation	Always by contract	By agreement OR by operation of law (inheritance)
Agency	Partner is agent of other partners	Co-owner is NOT agent of other co-owners
Sharing	Profits AND losses must be shared	Does NOT necessarily involve sharing profits/losses
Transfer	consent of all partners	Can transfer freely

E) Partnership 🤝 vs. Association 🏢

Basis	Partnership	Association
Purpose	Business for profit	Social cause — no intention to earn/share profits
Examples	Any business firm	Charitable society, religious association, trade protection body

1.5 KINDS OF PARTNERSHIP

BASED ON DURATION:



1. Partnership at Will [Section 7]

A partnership where:

- No fixed period is agreed for duration, AND
- No provision is made for determination (ending) of the partnership.

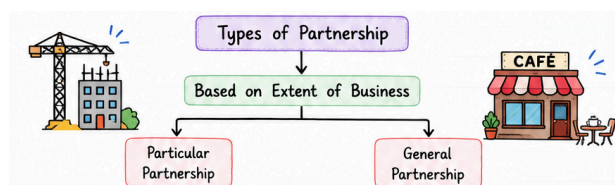
Any partner can dissolve it by giving **written notice** to all other partners.

⚠ **EXAM ALERT:** If a fixed-term partnership continues after the fixed term expires without a new agreement → it automatically becomes a **Partnership at Will**.

2. Partnership for a Fixed Period

- Created for a **specific period of time**.
- Ends automatically on expiry of that period.
- If partners continue after expiry → becomes **Partnership at Will**.

BASED ON EXTENT OF BUSINESS:



3. Particular Partnership

- Formed for a **specific venture or single adventure**.
- Dissolved automatically on completion of that venture.
- If continued after completion → becomes **Partnership at Will**.

4. General Partnership

- Constituted for **business in general** — not limited to any particular venture.
- Partners are liable for all acts of the firm (not just one venture).

1.6 PARTNERSHIP DEED

- No particular formality is required — can be oral, written, or implied.
- But it is always desirable to have it in **writing** to avoid disputes.
- The written document containing terms and conditions of partnership is called the **Partnership Deed**.
- Must be **stamped** as per the Stamp Act, 1899.
- If partnership includes **immovable property** → must be in writing, stamped, AND registered under the Registration Act.

A Partnership Deed typically contains:

- Name of firm,
- names of all partners,
- nature and place of business,
- date of commencement,
- duration,
- capital contribution of each partner,
- profit-sharing ratio,
- terms of admission and retirement,
- interest rates on capital/drawings/loans,
- provisions for dissolution and settlement of accounts,
- salaries or commission payable to partners,
- And provisions for expulsion of a partner in case of fraud or gross breach.

PARTNERSHIP DEED
(PARTNERSHIP AGREEMENT)

This Deed of Partnership is made on this ____ day of _____, 20____
BETWEEN the following persons who agree to form a partnership firm
under the terms and conditions hereinafter set forth.

STAMP
DUTY
PAID

- NAME OF THE FIRM**
The name of the firm shall be "_____".
- NAMES AND ADDRESSES OF PARTNERS**
• Partner 1 : _____ Address : _____
• Partner 2 : _____ Address : _____
• Partner 3 : _____ Address : _____
(Contact details of all partners)
- NATURE, SCOPE AND PLACE OF BUSINESS**
• Nature of Business : _____
• Scope of Business : _____
• Place of Business : _____
- DATE OF COMMENCEMENT**
The partnership shall commence
from : ____ / ____ / 20____
- DURATION**
The partnership shall continue
for _____ years /
till dissolved by mutual consent.
- CAPITAL CONTRIBUTION**
The capital contributed by the partners
shall be as under :
• Partner 1 : ₹ _____
• Partner 2 : ₹ _____
• Partner 3 : ₹ _____
Total Capital : ₹ _____
- PROFIT AND LOSS SHARING RATIO**
Profits and losses of the firm
shall be shared by the partners
in the following ratio :
Partner 1 : _____ Partner 2 : _____ Partner 3 : _____
(Total Ratio = _____ : _____ : _____)
- ADMISSION, RETIREMENT AND EXPULSION**
The admission, retirement or expulsion of a partner shall be governed as under : _____
- INTEREST**
Interest allowed / payable shall be as under:
• On Capital : _____ % p.a.
• On Drawings : _____ % p.a.
• On Partner's Loan : _____ % p.a.
- SALARIES, COMMISSIONS OR EXTRA REMUNERATION**
The partners shall be paid salary /
commission / bonus as under : _____
- SETTLEMENT OF ACCOUNTS ON DISSOLUTION**
On dissolution of the firm, the settlement of accounts shall be done as under : _____

IN WITNESS WHEREOF the parties hereto have set their hands on the day, month and
year first above written.

Partner 1 (Signature) _____ Partner 2 (Signature) _____ Partner 3 (Signature) _____

1.7 TYPES OF PARTNERS

1. Active, Actual, or Ostensible Partner 🧑

Definition:	A person who has become a partner via a formal agreement and actively participates in the daily management and conduct of the partnership business.
Agency Role:	Acts as a direct agent for all other partners in the ordinary course of business.
Retirement Mandate:	Upon retirement, they must give a formal public notice . If they fail to provide public notice, they remain fully liable to third parties for all acts done by the firm even after their physical retirement.

2. Sleeping or Dormant Partner 😴

Definition:	A person who is a valid partner by agreement but does not actively take part in managing or conducting the partnership business.
Rights & Liabilities	They share in the profits and losses and face the same unlimited liability to third parties as active partners.
Retirement Mandate:	They are NOT required to give a public notice upon retiring from the firm to absolve themselves of future liabilities.

3. Nominal Partner 🧑🗨️

Definition:	A partner who merely lends their name to the firm to boost its reputation, without contributing capital or having any real interest in the business.
Operational Reality:	They are not entitled to share in the firm's profits, nor do they take part in business operations.
Liability:	Because they have allowed the world to see them as a partner, they are fully liable to third parties for all acts of the firm.
Retirement Mandate:	Upon retirement, they must give a formal public notice . If they fail to provide public notice, they remain fully liable to third parties for all acts done by the firm even after their physical retirement.

4. Partner in Profits Only 💰

Definition:	A partner who is contractually entitled to receive a share of the business profits but is explicitly not liable for any losses incurred by the firm.
Third-Party Position:	Despite their internal immunity from losses, they remain fully liable to outside third parties for all acts of the firm.

5. Sub-Partner

Definition:	An arrangement where an actual partner agrees to share a portion of their own earned profits from the firm with an outside third party.
Legal Status:	The outsider (sub-partner) has absolutely no legal rights or privity against the firm and cannot be held liable for any of the firm's outstanding debts.

6. Incoming Partner

Definition:	A person newly admitted as a partner into an already functioning, existing firm. Admission requires the unanimous consent of all existing partners
Liability Boundary:	An incoming partner is not liable for any act or liability of the firm executed before their official date of admission . (Example: Joining on September 10, 2021 protects a partner from liabilities incurred between 2017 and September 9, 2021).

7. Outgoing or Retiring Partner

Definition:	A partner who voluntarily or legally severs ties with the firm while the remaining partners continue to carry on the business.
Liability Boundary:	They remain continuously liable to third parties for all acts of the firm until a proper public notice of their retirement is given .

★ 8. Partner by Holding Out / Estoppel (Section 28)

The Principle of Estoppel:	If a person, either through their own spoken/written words or deliberate conduct, represents themselves as a partner or knowingly permits someone else to represent them as a partner they are stopped (legally barred) from denying that character .
Liability Boundary:	They become personally liable, just like a regular partner, to anyone who has extended credit to the firm on the faith of that representation.
Key Conditions:	
1. It is not necessary to prove that the person had a fraudulent or malicious intention. 2. Only the specific third party who received the representation and acted on it has the right to enforce this liability.	
 This rule heavily applies to former partners who retire without giving a public notice , as their names may still appear on letterheads, making them liable by holding out to creditors who lend based on that old faith.	

